

**QUARTERLY BRIEF**

HISTORICAL EDITION · Historical edition, published on 8 September 2026 using data for Q3 2025.

# Tourism & Hospitality Brief

---

**Portugal, Q3 2025: overnight stays +1.9% and total revenue +7.4% year on year.**

Overnight stays rose 1.9% and total revenue 7.4%. The external markets' share fell to 67.8%, the lowest since the third quarter of 2022. Summer 2025 was carried by residents and by price, not by foreign volume.

## Paulo Braga

Hospitality Real Estate Advisor

## Portugal | Q3 2025

Historical edition v1.0 - revised data

## EXECUTIVE SUMMARY

## A summer that grew less and earned more

## MAIN CONCLUSION

**Overnight stays slowed through the quarter, from +3.9% in July to +0.6% in September, while total revenue rose 7.4%. Growth came from price and from the domestic market.**

Tourist accommodation recorded 10.5 million guests and 28.6 million overnight stays, up 2.1% and 1.9% on the same quarter of 2024. External markets remained dominant at 67.8% of the total, the lowest share since the third quarter of 2022.

Total revenue reached EUR 2740.0 million (+7.4%) and room revenue EUR 2171.9 million (+6.8%), with ADR up 4.4% and RevPAR up 4.1%. Value grew faster than volume, and almost all of the gap is rate.

For owners, the quarter measures the ability to charge for demand more than the strength of demand itself.

KEY INDICATORS

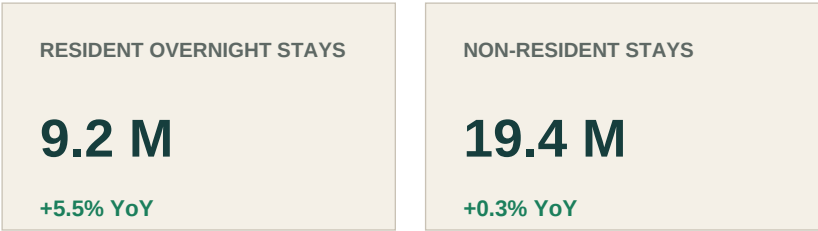
Price did nearly all the work

|                                                                                    |                                                                                             |                                                                        |
|------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------|------------------------------------------------------------------------|
| <div>GUESTS</div> <div>10.5 M</div> <div>+2.1% YoY</div> <div>revised change</div> | <div>OVERNIGHT STAYS</div> <div>28.6 M</div> <div>+1.9% YoY</div> <div>revised change</div> | <div>TOTAL REVENUE</div> <div>EUR 2,740.0 M</div> <div>+7.4% YoY</div> |
| <div>ROOM REVENUE</div> <div>EUR 2,171.9 M</div> <div>+6.8% YoY</div>              | <div>REVPAR</div> <div>EUR 106.5</div> <div>+4.1% YoY</div>                                 | <div>ADR</div> <div>EUR 151.3</div> <div>+4.4% YoY</div>               |

Reading: total revenue grew 7.4% while overnight stays grew 1.9%. ADR rose 4.4% and RevPAR 4.1%, placing value creation on the rate side rather than the volume side.

DEMAND

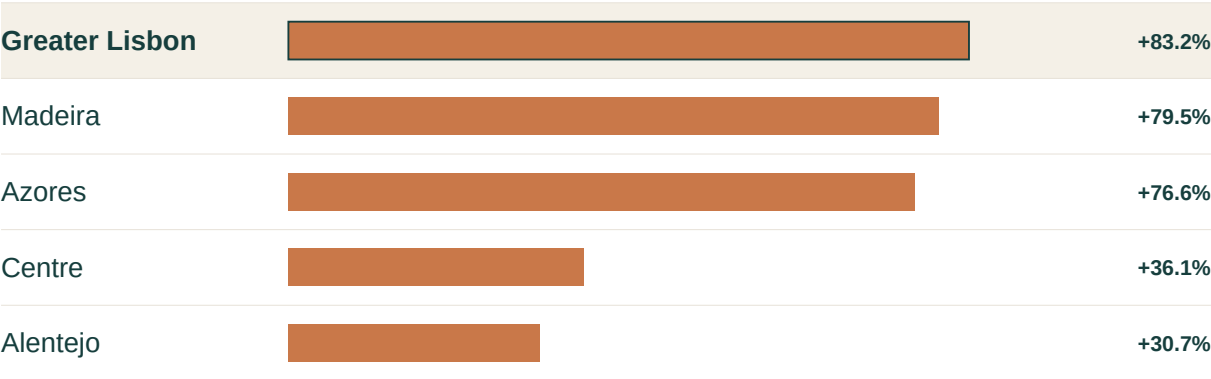
# Residents carried the quarter



Resident overnight stays rose 5.5% to 9.2 million; non-resident stays came in at 19.4 million, up 0.3%. Dependence on external markets is very uneven: 83.2% of overnight stays in Greater Lisbon, 79.5% in Madeira and 76.6% in the Azores, against 36.1% in the Centre and 30.7% in Alentejo. The United Kingdom was the leading external market in the Algarve, with 38.5% of the region's non-resident overnight stays.

## Dependence on external markets by region

Q3 2025, share of non-resident overnight stays in the regional total



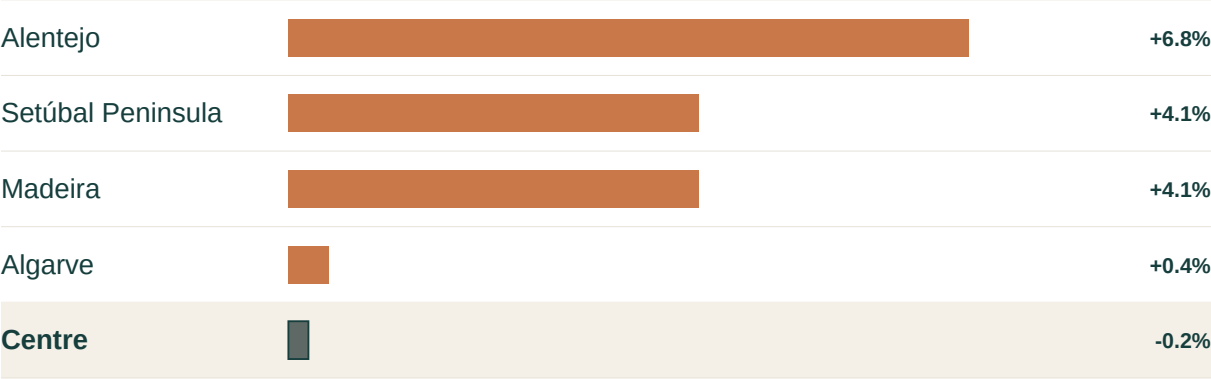
Statistics Portugal, Tourism Activity, Q3 2025.

REGIONS

# The Centre was the exception

## Change in overnight stays in the regions INE singles out

Q3 2025, year-on-year change



Statistics Portugal, Tourism Activity, Q3 2025.

Among the regions INE singles out, Alentejo grew 6.8% in overnight stays, the Setúbal Peninsula and Madeira 4.1% each, and the Algarve managed 0.4%. The Centre was the only region in negative territory, at -0.2%.

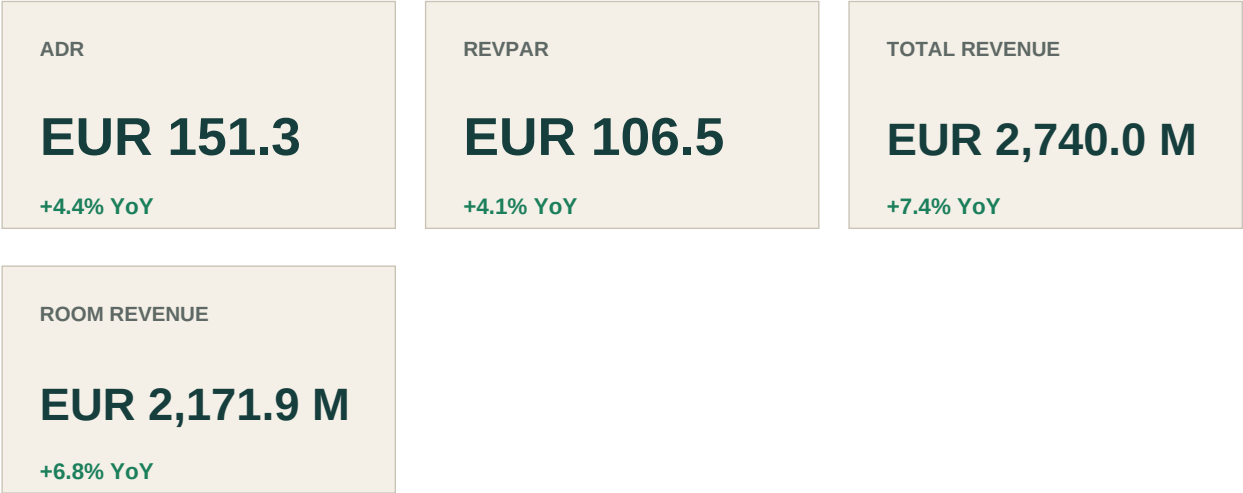
REGION IN FOCUS

The Centre lost overnight stays (-0.2%) while the country grew 1.9%; at the other end, Madeira posted the quarter's largest RevPAR increase (+15.1%).

OPERATING PERFORMANCE

# Rate carried revenue

Portugal, tourist accommodation establishments.



ADR for the quarter was EUR 151.3 (+4.4%) and RevPAR EUR 106.5 (+4.1%). RevPAR grew less than ADR, which means occupancy did not follow. Total revenue came to EUR 2740.0 million (+7.4%) and room revenue to EUR 2171.9 million (+6.8%), so revenue outside the room grew faster. INE publishes no quarterly occupancy rates.

## REAL ESTATE LENS

## Rate yes, utilisation no

## FACT

**Overnight stays +1.9%, total revenue +7.4%, ADR +4.4% and RevPAR +4.1%.**

## INTERPRETATION

Revenue per available room rose, but by less than rate: the gain came from charging more, not from filling more. With external markets close to a standstill (+0.3%), growth rested on residents (+5.5%), whose spread across the country differs from that of foreign demand.

## IMPLICATION

For owners and investors, price effect and occupancy effect should be separated before the quarter is extrapolated. Assets heavily exposed to external markets, as in Greater Lisbon (83.2%) or Madeira (79.5%), depend on a segment that grew 0.3%; assets with meaningful domestic demand entered the quarter on a different base.

OUTLOOK

# Three signals to watch in the fourth quarter

|    |                                                                                       |
|----|---------------------------------------------------------------------------------------|
| 01 | Whether the external markets' share keeps falling after its three-year low.           |
| 02 | Whether the Centre returns to growth or closes the year negative.                     |
| 03 | Whether RevPAR can keep growing without help from occupancy, now outside peak season. |

## SOURCES

Statistics Portugal, Tourism Activity, Q3 2025, released 17 November 2025. Statistics Portugal, Tourism Activity, Q4 2025, released 13 February 2026. Year-on-year changes revised for the preceding quarter.

Levels and year-on-year changes from the INE quarterly release of 17 November 2025; year-on-year changes revised in the release of 13 February 2026. Total revenue for the quarter is the exact figure in millions of euros INE printed in the quarterly release of 17 November 2025. Room revenue for the quarter is the exact figure in millions of euros INE printed in the quarterly release of 17 November 2025. INE publishes no quarterly occupancy rates.

**Paulo Braga**

Hospitality Real Estate Advisor